19: Odds, Odds Ratios, and Logistic Regression

Self-paced tutorial

> ❗ Today's plan
>
> I've lost my voice! 😷 Instead of a lecture, you'll work through this tutorial with your group at your own pace. It covers the same material as the Day 19 slides and the Day 19 activity.
>
> - **Code chunks:** click **Run Code** to run them. You can edit the code and run it again.
> - **Check-in questions:** click an answer to see whether you're right (and why). Try to answer *before* you click!
> - **Numbered questions (Q1, Q2, ...):** write your answers in your notes.
>
> Raise your hand if your group gets stuck. I can't talk, but I can write!

1 Part 1: The data

This data set has information on 150 news articles, some that are real and some that are fake. Our goal is to build a statistical model to explain `type` based on features of the article.

- `type`: "real" or "fake" / `type_num`: 0 (real) or 1 (fake)
- `title` and `url` of article
- `title_words`: how many words in the title
- `title_has_excl`: whether title has an exclamation point
- `title_caps_percent`: percent of title in capital letters
- `negative`: percent of words that have negative sentiment
- `positive`: percent of words that have positive sentiment

Run the code chunk below to load the data. (Every chunk after this one needs `news`, so start here!)

```
#| autorun: true
library(ggformula)
news <- read.csv("https://aluby.github.io/stat230/data/fake_news_bayesrules.csv")
head(news[, c("type", "type_num", "title_has_excl", "title_caps_percent", "title_word
```

2 Part 2: Probability, odds, and odds ratios

2.1 Probability vs. odds

If π is the probability of an event, then the **odds** of the event are

$$\text{odds} = \frac{\pi}{1-\pi} = \frac{P(\text{event})}{P(\text{not event})}$$

Probability π	Odds $\pi/(1-\pi)$	How we'd say it
0.5	1	"even odds"
0.75	3	"3 to 1"
0.2	0.25	"1 to 4"

Probabilities live between 0 and 1. Odds live between 0 and ∞.

2.2 Fake news and exclamation points

Here's a table of article type by whether the title has an exclamation point:

```
table(news$title_has_excl, news$type) |>
  addmargins()
```

For titles **with** an exclamation point (the TRUE row):

- $P(\text{fake} \mid \text{exclamation}) = 16/18 \approx 0.889$
- $\text{Odds}(\text{fake} \mid \text{exclamation}) = \dfrac{16/18}{2/18} = \dfrac{16}{2} = 8$

Notice the shortcut: the odds are just (number fake) / (number real). You can use the chunk below as a calculator.

```
16 / 18   # probability
16 / 2    # odds
```

2.3 Odds ratios

To compare the two groups, we divide their odds. This is the **odds ratio (OR)**:

$$OR = \frac{\text{Odds}(\text{fake} \mid \text{exclamation})}{\text{Odds}(\text{fake} \mid \text{no exclamation})} = \frac{8}{0.5} = 16$$

Q1. What would an odds ratio of exactly 1 mean in this context? What about an odds ratio less than 1?

3 Part 3: Why not linear regression?

Now let's use a quantitative predictor: `title_caps_percent`. Here's what happens if we fit our usual linear regression model to a 0/1 response:

```
gf_jitter(type_num ~ title_caps_percent, data = news, width = 0.2, height = 0.05) |>
  gf_lm(color = "#f15a31") |>
  gf_labs(y = "Fake = 1")

lm_fit <- lm(type_num ~ title_caps_percent, data = news)
predict(lm_fit, newdata = data.frame(title_caps_percent = c(0, 43.75)))
```

4 Part 4: The logistic regression model

The trick is to model a version of the probability that isn't stuck between 0 and 1: the **log-odds** (also called the **logit**).

$$\log\left(\frac{\pi(x)}{1-\pi(x)}\right) = \beta_0 + \beta_1 x_1 + \beta_2 x_2 + \cdots + \beta_p x_p$$

where $\pi(x) = P(Y = 1 \mid x)$.

Scale	Formula	Range
Probability	π	0 to 1
Odds	$\dfrac{\pi}{1-\pi}$	0 to ∞
Log-odds	$\log\left(\dfrac{\pi}{1-\pi}\right)$	$-\infty$ to ∞

Because the log-odds can be any number, it's OK for the right-hand side to be a line.

4.1 Fitting the model in R

We use `glm()` with `family = binomial`. The syntax is otherwise the same as `lm()`.

```
news_glm <- glm(type_num ~ title_caps_percent, data = news, family = binomial)
coef(news_glm)
```

So the fitted model is

$$\log\left(\frac{\hat{\pi}(x)}{1-\hat{\pi}(x)}\right) = -0.932 + 0.098x$$

where x is `title_caps_percent`. (The slides rounded these to -0.93 and 0.1, so the numbers below are slightly different from the slides.)

5 Part 5: Interpreting $\hat{\beta}_1$

$\hat{\beta}_1 = 0.098$ is the expected change in the **log-odds** of being fake for a 1-unit increase in `title_caps_percent`. But we don't think in log-odds! Exponentiating both sides gives the odds:

$$\widehat{\text{odds}}(x) = e^{\hat{\beta}_0 + \hat{\beta}_1 x} = e^{\hat{\beta}_0}\, e^{\hat{\beta}_1 x}$$

If x increases by 1, the odds get *multiplied* by

$$\frac{\widehat{\text{odds}}(x+1)}{\widehat{\text{odds}}(x)} = \frac{e^{\hat{\beta}_0} e^{\hat{\beta}_1 (x+1)}}{e^{\hat{\beta}_0} e^{\hat{\beta}_1 x}} = e^{\hat{\beta}_1}$$

So $e^{\widehat{\beta}_1}$ is an **odds ratio**.

```
exp(coef(news_glm))
```

6 Part 6: From log-odds to probabilities

What's the probability that an article with **20%** capital letters in the title is fake? Work from the inside out:

1. **Log-odds:** $\hat{\eta} = -0.932 + 0.098(20) \approx 1.023$
2. **Odds:** $\hat{\omega} = e^{\hat{\eta}} = e^{1.023} \approx 2.78$
3. **Probability:** $\hat{\pi} = \dfrac{\hat{\omega}}{1+\hat{\omega}} = \dfrac{e^{\hat{\eta}}}{1+e^{\hat{\eta}}} \approx 0.736$

```
b <- coef(news_glm)
eta <- b[1] + b[2] * 20       # log-odds
odds <- exp(eta)              # odds
prob <- odds / (1 + odds)     # probability
c(log_odds = eta, odds = odds, prob = prob)
```

> Tip
>
> To go from odds to probability: $\pi = \dfrac{\text{odds}}{1+\text{odds}}$. For example, odds of 3 ("3 to 1") is a probability of $3/4 = 0.75$.

6.1 Letting R do it: `predict()`

`predict()` works for `glm()` models too, but be careful about the scale:

```
predict(news_glm, newdata = data.frame(title_caps_percent = 20))
predict(news_glm, newdata = data.frame(title_caps_percent = 20), type = "response")
```

6.2 The fitted model on all three scales

Run the chunk below to see the same fitted model on all three scales.

```
x <- seq(0, 60, by = 0.5)
b <- coef(news_glm)
log_odds <- b[1] + b[2] * x
three_scales <- data.frame(
  x = rep(x, 3),
  value = c(log_odds, exp(log_odds), exp(log_odds) / (1 + exp(log_odds))),
  scale = rep(c("1. log-odds", "2. odds", "3. probability"), each = length(x))
)
gf_line(value ~ x, data = three_scales, color = "#003300", linewidth = 1) |>
  gf_facet_wrap(~scale, scales = "free_y") |>
  gf_labs(x = "title_caps_percent", y = "")
```

Q2. Describe the shape of the fitted model on each of the three scales. Why does the probability curve flatten out near 1?

7 Part 7: Connecting back to odds ratios

What if the predictor is the 0/1 variable `title_has_excl`?

```
excl_glm <- glm(type_num ~ title_has_excl, data = news, family = binomial)
coef(excl_glm)
exp(coef(excl_glm))
```

Q3. What does $e^{\widehat{\beta}_0} = 0.5$ represent in context?

8 Part 8: Your turn

Now, fit a logistic regression model using all three variables we've discussed today (`title_has_excl`, `title_caps_percent`, and `title_words`) and report the `summary()`.

```
news_glm_2 <- glm(type_num ~ ___ + ___ + ___, data = news, family = binomial)
summary(___)
```

Q4. Write out the fitted model (on the log-odds scale) for articles (A) with an exclamation point in the title and (B) without an exclamation point in the title.

Q5. Write out interpretations for all slope coefficients in the model in terms of the **odds** of being fake news.

Q6. Use `predict()` to find the estimated probability that an article with an exclamation point, 10% capital letters, and 12 words in the title is fake.

```
# your code here
```

Q7. Based on what we know about OLS (**o**rdinary **l**east **s**quares, which includes both SLR and MLR), which predictors appear to be most important for this model?

Q8. What questions do you have about the `summary()` output? (Write them down! We'll talk about them next class.)

8.1 Function quick reference

Function	Purpose
`table(x, y) |> addmargins()`	Two-way table with row and column totals
`glm(formula, data, family = binomial)`	Fit a binary logistic regression model
`coef(model), exp(coef(model))`	Coefficients on the log-odds scale; odds ratios
`summary(model)`	View model summary and Wald tests
`predict(model, newdata)`	Predictions on the log-odds scale
`predict(model, newdata, type = "response")`	Predictions on the probability scale